

Unions

by Sophia



WHAT'S COVERED

In this lesson, you will learn about the importance of labor unions in business. In particular you will learn about:

1. Organized Labor

Americans' longstanding belief in individualism makes some managers wonder why employees would want or need to be represented by a **labor union**, an organization of workers that represents their rights and interests. The answer is, for the same reasons a CEO wants to be represented by an attorney when negotiating an employment contract, or that an entertainer wants to be represented by an agent. Unions act as the agent/lawyer/negotiator for employees during **collective bargaining**, a negotiation process aimed at getting management's agreement to a fair employment contract for members of the union. In the United States, collective bargaining and the collective efforts of workers has led to the standard 40-hour work week, periodic breaks, and safer working conditions. Without that collective effort in the past, today we might not celebrate Labor Day, and instead be working a standard 50- or 60-hour work week—with no overtime compensation—in dangerous environments.

Everyone wants to be successful in any important negotiation, and people often turn to professionals to help them in such a situation. Usually, labor unions are a group of workers in the lower levels of an organization, such as AFSCME, who represents government workers in clerical positions, and AFL-CIO, which represents laborers in industry. Importantly, these are not just entry-level jobs, but careers. A single secretary or laborer has little negotiating power, but collectively, they have a lot of power.

However, in the United States, as elsewhere around the globe, the concept of worker organization has been about more than simply good representation. Unionization and worker rights have often been at the core of debates related to class economics, political power, and ethical values. There are legitimate points on each side of the union debate.

Pros and Cons of Unions

Pros of Unions	Cons of Unions
Unions negotiate increased pay and benefits for workers.	Unions can make it harder to fast-track promotions for high-performing workers and/or sanction low-performing ones.
Unions create a formal dispute resolution process for	Workers are required to pay union dues/fees that

workers.	some might rather not pay.
Unions act as an organized lobbying group for worker rights.	Unions sometimes lead to a closed culture that makes it harder to diversify the workforce.
Collective bargaining agreements often set norms for employment for an entire industry—benefiting all workers, including those who are not at a union company.	Collective bargaining contracts can drive up costs for employers and lead to an adversarial relationship between management and workers.

The value of unions is a topic that produces significant disagreement. Historically, unions have attained many improvements for workers in terms of wages and benefits, standardized employment practices, labor protections (e.g., child labor laws), workplace environment, and on-the-job safety. Nevertheless, sometimes unions have acted in their own interests to sustain their own existence, without primary concern for the workers they represent. The history of union influence, coercion, and corruption is well recognized, and now the stuff of exciting movies and film, which may further negative perceptions of unions and reluctance to join one for some workers.

REFLECT

Have you or someone close to you ever belonged to a union? If yes, what was the experience like?

The history of the labor movement reveals that in the first half of the twentieth century, wages were abysmally low, few workplace safety laws existed, and exploitative working conditions allowed businesses to use child labor, compel workers to work long days, and simply release anyone who was injured on the job. Unions stepped in and played an important role in leveling the playing field by representing the interests of the workers. Union membership grew to a relatively high level (33% of wage and salary workers) in the 1950s and became a force in politics. However, their dominance was relatively short-lived, not least because in the 1960s, the federal government started to enact employment laws that codified many of the worker protections unions had championed. In the 1980s and 1990s, the U.S. economy gradually evolved from manufacturing, where unions were strong, to services, where unions were not as prevalent. The service sector is more difficult to organize, due to a variety of factors such as the historical absence of unions in the sector, workers' widely differing work functions and schedules, challenging organizational status, and white-collar bias against unions. Furthermore, some businesses and politicians actively worked to weaken unions in order to reduce their political power and cut labor costs. One example is the termination of over 10,000 striking air traffic controllers in 1981 by then-President Ronald Reagan.

These developments, along with the appearance of state right-to-work laws, have led to a decline in unions and their membership. **Right-to-work laws** give workers the option of not joining the union, even at companies where the majority has voted to be represented by a union, resulting in lower membership. Right-to-work laws attempt to counter the concept of a union shop or **closed shop**, which requires that all new hires automatically be enrolled in the labor union appropriate to their job function and that union dues automatically be deducted from their pay.

Some question the fairness of right-to-work laws, because they allow those who do not join the union to get the same pay and benefits as those who do join and who pay union dues for their representation. On the other hand, right-to-work laws provide workers a choice; those who do not want to join a union are not forced to do so. Those who do not choose to join may end up having a strained relationship with union workers, however, when a union-mandated strike occurs. Some non-union members, and even union members, elect to cross the picket line and continue to work. Traditionally, these “scabs,” as they are derisively labeled by unions, have faced both overt and subtle retaliation at the hands of their coworkers, who prioritize loyalty to the union.

Twenty-eight states have right-to-work laws. Many right-to-work states, such as Michigan, Missouri, Indiana, Wisconsin, Kentucky, Tennessee, Alabama, and Mississippi, are among the top ten states where automobiles are manufactured and unions once were strong.

According to the U.S. Bureau of Labor Statistics, total union membership in the United States dropped to 20% of the workforce in 1980; by 2016, it was down to only 10%. Public sector (government) workers have a relatively high union membership rate of 35%, more than five times that of private sector workers, which is at an all-time low of 6.5%. White-collar workers in education and training, as well as first responders such as police and firefighters, now have some of the highest unionization rates, also 35%. Among states, New York continues to have the highest union membership rate at 23%, whereas South Carolina has the lowest, at slightly more than 1%.

However, in the 2020s, there have been new efforts to unionize, including workers at Amazon.com warehouses, Starbucks coffee shops, and both private and public colleges and universities. A poll in 2023 found that the generation of workers entering the workforce had more positive attitudes about organized labor than previous generations (Hartman & Cunningham, 2023). This trend is likely to continue.



TERMS TO KNOW

Labor Unions

An organization of workers that represents their rights and interests.

Collective Bargaining

A negotiation process aimed at getting management's agreement to a fair employment contract for members of the union.

Right-to-Work Laws

Laws, usually at the state level, which give workers the option of not joining the union, even at companies where the majority has voted to be represented by a union.

Closed Shop

An organization in which accepting a certain position automatically makes a worker a dues-paying member of the union.

2. Pay and Productivity

Some managers, politicians, and even members of the general public perceive unions as a big part of the reason that U.S. companies have difficulty competing in the global economy, regardless of the actual information on the subject. The conservative think tank Heritage Foundation conducted a study that concluded unions may be responsible, in part, for a slower work process and reduced productivity. However, multiple other studies indicate that U.S. productivity is up. Productivity in the United States increased 74% in the period 1973 to 2016, according to the Organization for Economic Cooperation and Development (OECD). In global productivity rankings, most studies indicate the United States ranks quite high, among the top five or six countries in the world and number two on the list compiled by the OECD.

During the same period as the productivity gains, wages for U.S. workers increased only 12%. In other words, productivity has grown six times more than pay. Taken together, these facts mean that American workers, union members or not, should not shoulder the blame for competitive challenges faced by U.S. companies. Instead, they are a relative bargain for most companies, and getting cheaper each day as inflation consumes purchasing power even as wages stagnate, gig jobs without benefits proliferate, and jobs with benefits, like healthcare, become scarce.

However, it is definitely the case that as unions push for better working conditions and better pay for their workers, companies find it more profitable to move some jobs overseas where workers have to accept lower wages with few or no benefits. In the era of advanced global communications, even customer support jobs can be placed in other countries where lower wages and fewer benefits are the norm and labor unions are weak or nonexistent. Company owners, in turn, blame unions for these moves, and the workers bear the cost and effort as they try to provide for their families and communities.



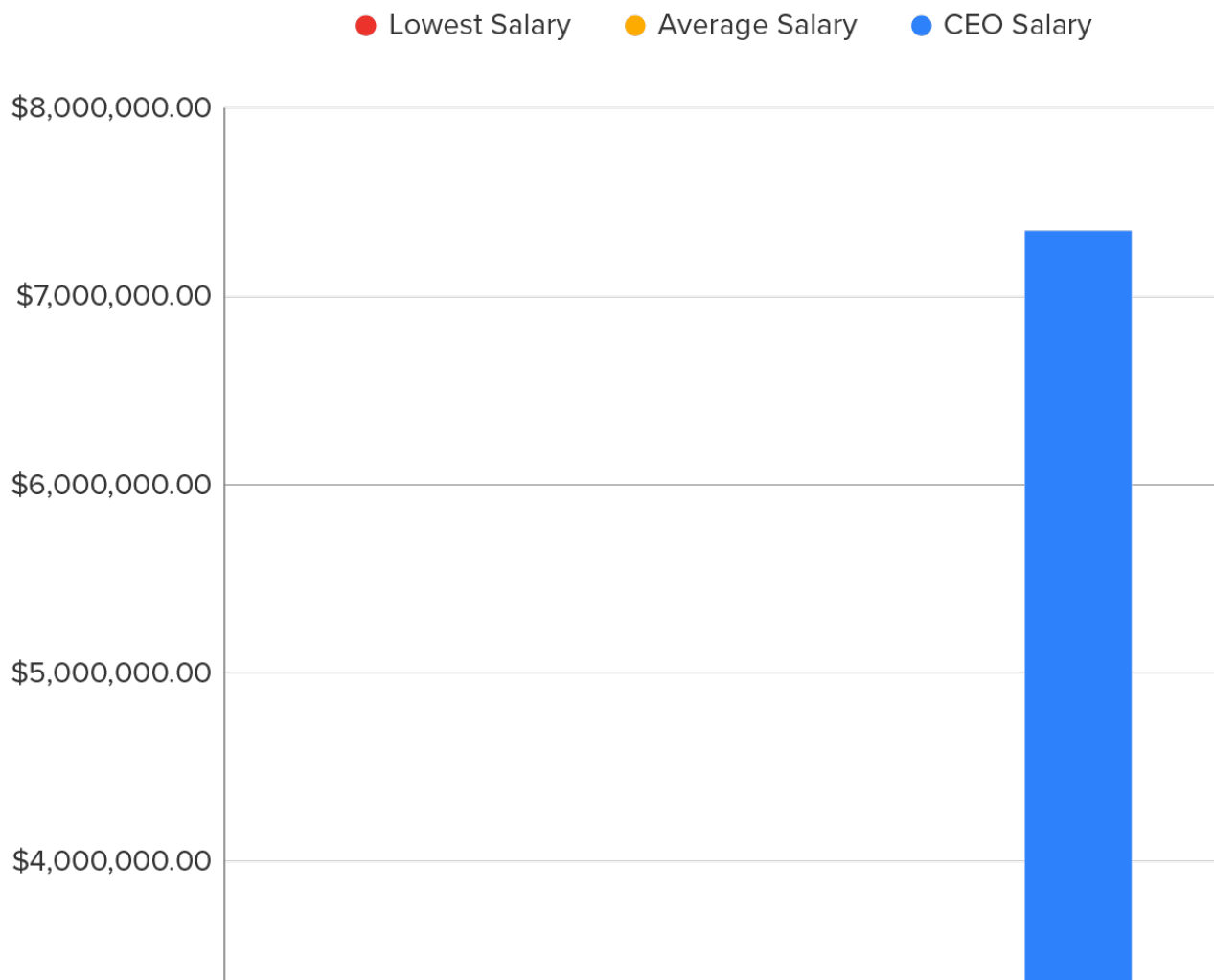
THINK ABOUT IT

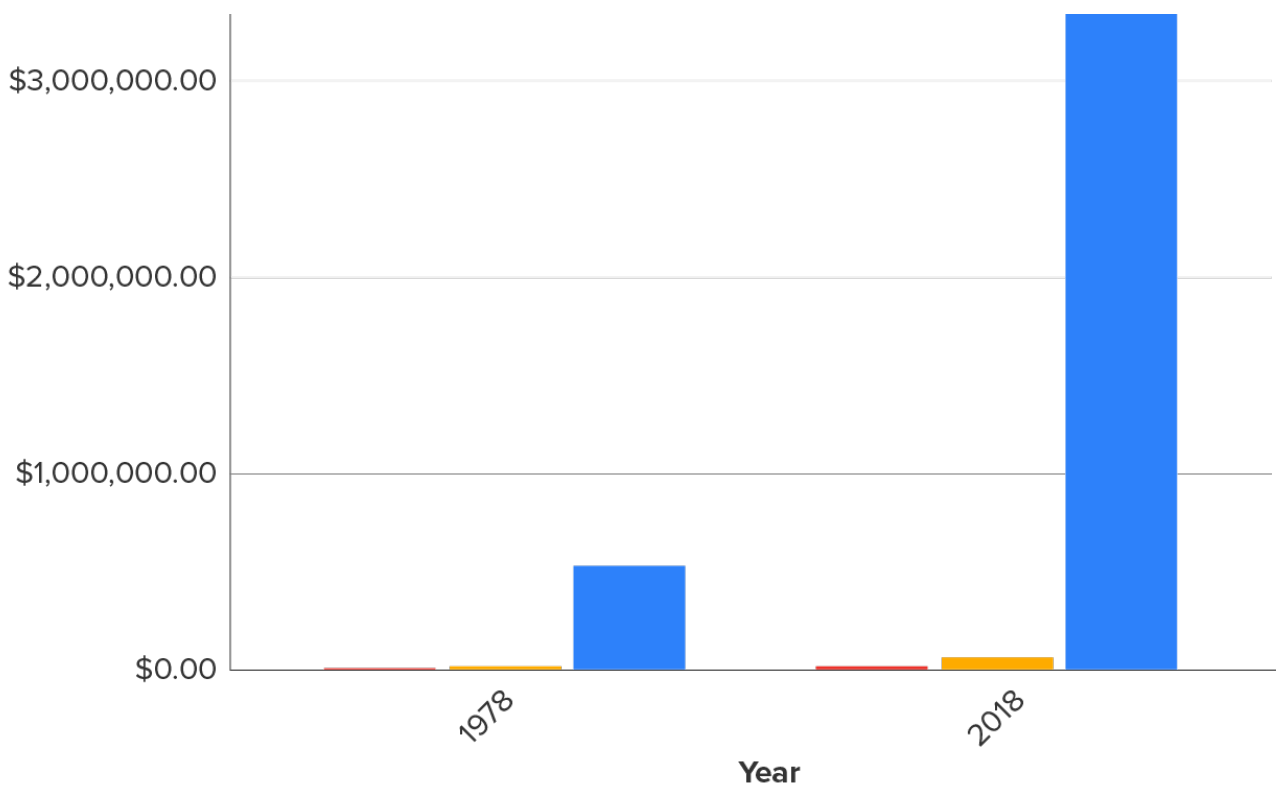
Imagine you are a labor leader bargaining for raises for the people you represent. The management of the company makes it clear that they are considering moving the entire operation overseas if the union doesn't back down. What is your ethical obligation? What moves would best represent the workers? What are the long-term risks and benefits of your decision, even beyond the company itself?

3. The Pay Ratio

We gain yet another perspective on labor by looking at management compensation relative to that of employees. Between 1978 and 2021, inflation-adjusted CEO pay increased by almost 1400% in the United States, while average pay rose 400% and the lowest pay rose only 270%.

Comparison of Salaries in 1978 and 2018





The discrepancy between average salary and executive salary has expanded exponentially in the last 40 years.

A popular way to compare the fairness of a company's compensation system with that in other countries is the widely reported **pay ratio**, which measures how many times greater CEO pay is than the wages for the average employee.

The average ratio in the United States is in the range of 300. This means that CEO pay is, on average, 300 times as high as the pay of the average worker in the same company. In the United Kingdom, the multiplier is 22; in France, it is 15; and in Germany, it is 12. The 1965 U.S. ratio was only 20:1, which raises the question, why and how did CEO pay rise so dramatically in the United States compared with the rest of the world? Are CEOs in the United States that much better than CEOs in Germany or Japan? Do American companies perform that much better? Is this ratio fair to investors and employees? A large part of executive compensation is in the form of stock options, which frequently are included in the calculation of an executive's salary and benefits, rather than direct salary. However, this, in turn, raises the question of whether all or a portion of the general workforce should also share in some form of stock options.

Everyone wants to be paid fairly for their work. Whether CEO or administrative assistant, engineer or assembly-line worker, we naturally look out for our own best interests. Thus, management compensation is a topic that often causes resentment among the rank and file, especially when organized workers go on strike. From the employee viewpoint, the question is why management often wants to hold the line when it comes to everyone's wages but their own. Calculating management "value added" to a process can be a challenge, but the evidence of an increase in overall overhead costs, including administrative salaries, can be observed across industries. Since administration and management are often in decision-making roles on compensation, the ethical conflict of interest becomes self-evident. The pay gap, pay ratio, and fair compensation challenges are serious issues that form the foundation for other systemic and structural problems in society. In order to address them, we must look at the root causes of inequality and difference.



TERM TO KNOW

Pay Ratio

The ratio of the CEO salary at an organization to that of the average worker.



SUMMARY

In this lesson, you learned about **organized labor** and its role in the transformation of the modern workplace. Without collective efforts, we would not have a standard 40-hour work week, Labor Day, periodic breaks, or the requirement for a safe and healthy work environment. However, unions have been in decline, which has exacerbated pay inequality. **Pay should be correlated to productivity**, although what value an employee brings to an organization is often hard to measure. However, the **pay ratio**, or factor by which executive compensation compares to lower-level compensation, is often quite significant, and in general has been increasing over time. Since executives usually make decisions about compensation, this raises a valid ethical question on self-serving conflicts of interest. In a democracy, we look to a group decision, but in industry and organizations, it often comes down to the choices of a select few. The consequences of an inequitable pay ratio provide a foundation for inequality that contribute to many other problems and challenges, from education to healthcare to opportunities. Ethics involves both standards and obligations, and this tutorial reinforces the importance of considering all stakeholders when pay and productivity is under consideration.

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REFERENCES

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